

# Leave Accrual and Final Settlement Procedure

Operating procedure for People Operations and Payroll

|                |                 |            |                                |
|----------------|-----------------|------------|--------------------------------|
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## 1. Purpose

This procedure explains how annual leave entitlement is calculated for employees who join or leave part way through a calendar year, and how any remaining balance is settled on departure. It is the operative document for accrual mechanics and takes precedence over the summary description in HR-POL-002 section 4.3.

## 2. When accrual begins

Annual leave accrues from the **first day of employment**. The probation period is included: leave accrues during probation in the same way as it does after confirmation. There is no waiting period before accrual starts.

## 3. Monthly accrual rate

An employee accrues one twelfth of their annual entitlement for each completed month of service. For the standard 24-day entitlement this is **2 working days per completed month**.

## 4. Treatment of partial months

A period of service that does not make up a whole calendar month is treated as follows.

| Days served in the partial month | Treatment                                                       |
|----------------------------------|-----------------------------------------------------------------|
| 15 calendar days or more         | Counts as one completed month. Full monthly accrual is granted. |
| Fewer than 15 calendar days      | Disregarded. No accrual is granted for that month.              |

This rule applies at both ends of the employment relationship: to the month of joining and to the month of leaving. Rounding is applied once, at the end of the calculation, and never to individual months in the middle of a period of service.

### Worked example

An employee on the standard 24-day entitlement joins on 20 June and leaves on 30 November of the same year. 20 to 30 June is 11 calendar days, which is below the threshold in section 4 and is therefore disregarded. July to November inclusive is five completed months. Total accrual is 5 x 2 = **10 working days**.

## 5. Leave taken against unaccrued entitlement

Employees may take annual leave in advance of accruing it, up to a maximum of five working days, with line manager approval. Where an employee leaves having taken more leave than they accrued, the excess is recovered from the final salary payment at the rate of one day of basic pay per day of excess leave.

## 6. Final settlement

1. Payroll calculates total accrual for the year of departure using sections 3 and 4.
2. Leave already taken in that year is deducted.
3. Any balance carried over from the previous year that remains unexpired is added (see HR-POL-002 section 4.5).

4. A positive balance is paid at the rate of one day of basic pay per accrued day. A negative balance is recovered as described in section 5.
5. The settlement statement is issued to the employee within 10 working days of their last working day.

## **7. Records**

Accrual calculations are retained for seven years. Any manual adjustment to a calculated balance requires written approval from the Head of People Operations and a note explaining the reason.